

Venture Exits: A Review and Future Research Agenda

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Exits are key events in the life cycles of entrepreneurial ventures. Venture exits have immense practical impacts on a variety of stakeholders, including founders, employees, organizations, resource providers, and broader ecosystems. As a result, the phenomenon of venture exits is of interest to a broad community of scholars across fields such as general management, entrepreneurship, finance and accounting, strategy, economics, organizational behavior, and psychology. We examine the multidisciplinary literature on venture exits, including initial public offerings, acquisitions, buy-outs, secondary sales, and related exit events, by analyzing 317 research articles published from 1991 to 2025. We integrate extant findings into a unified model describing the pre-exit, exit execution, and post-exit phases across multiple units of analysis: the individual, venture, resource provider, and environment. We identify common themes, predominant tensions, and important gaps, laying the foundation for a reinvigorated research agenda. Central to this agenda is embracing a process perspective that considers the fluidity of the actors, interests, and resources shaping venture exit decisions and outcomes. Grounded in our

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review, this perspective offers new insights into venture exits while creating opportunities to meaningfully challenge and advance existing approaches and theories.

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Introduction

Venture exits—the process through which initial owners of an entrepreneurial firm, including founders, employees, and investors, partially or fully transfer their ownership stakes to new owners—represent critical milestones in the entrepreneurial lifecycle (Bayar & Chemmanur, 2011; Cumming, 2008; Wennberg & DeTienne, 2014). Such exits can take multiple forms, including initial public offerings (IPOs), acquisitions, buy-outs, secondary sales, and related exit events.¹ The entry and exit of different owners can engender changes to governance structures (Carpenter, Pollock, & Leary, 2003), create tensions between existing and new stakeholders (Yao & O'Neill, 2022), alter the dynamics within executive teams (Wang & Song, 2016), affect founder identity (Crosina, Pratt, & Lifshitz, 2024), influence the motivation of employees (Murnieks, Klotz, & Shepherd, 2020), and spur new strategies, resources, and capabilities (Arend, Patel, & Park, 2014). As a result, venture exits are of interest to a broad community of both researchers and practitioners.

A common and important consequence of venture exit events is enabling financial liquidity for founders, employees, and investors.² Liquidity has particular importance for high-growth ventures (Somaya & You, 2024), which are often funded by professional venture capitalists (VCs) (Chang, 2004; De Bettignies, 2008). Because their funds have finite duration, VCs typically require timely exits in order to return capital to their limited partners and raise new funds for future investments (Batt & Appelbaum, 2021; Sahlman, 1990). Exit events enable the monetization of early equity stakes (Field & Hanka, 2001) and demonstrate fund performance (Barber & Yasuda, 2017), which helps VCs raise new funds that facilitate the reinvestment of capital into entrepreneurial ecosystems (DeSantola, Zhelyazkov, & Hallen, 2024; Nanda, Samila, & Sorenson, 2020). Founders and employees can also realize substantial financial returns through exits (Fattoum-Guedri, Delmar, & Wright, 2018), which represent the culmination of years of personal and professional investment and risk-taking. These returns can then enable founders to pursue new venture ideas or philanthropic initiatives (Hans & Vissa, 2023), ultimately to the benefit of the broader economy and society.

Prior reviews have provided valuable insights into ownership changes in established firms (see Online Supplement 1 for more details on adjacent reviews), yet venture exits are distinct in important ways. Entrepreneurial ventures typically operate under intense resource constraints, pursue rapid growth, and face great uncertainty (Shane & Venkataraman, 2000; Shepherd, Souitaris, & Gruber, 2021). As noted previously, the involvement of professional venture investors often introduces distinct time pressures and exit expectations that are less salient in established firms (Gompers, 1996; Yao & O'Neill, 2022). Moreover, established firms are often characterized by their longstanding routines and stable governance structures, which may provide stability even during ownership transitions (Certo, Holcomb, & Holmes, 2009). By contrast, venture exits typically take place in more dynamic and less structured contexts.

In summary, venture exits are consequential and distinctive organizational events. However, no comprehensive review of venture exits currently exists. Addressing this gap makes a timely contribution to the literature for two key reasons. First, the multidisciplinary nature of venture exit research has led to a burgeoning yet fragmented body of literature that spans entrepreneurship (Wennberg & DeTienne, 2014), finance (Bayar & Chemmanur, 2011), strategic management (Yao & O'Neill, 2022), economics (Angeletos, Lorenzoni, & Pavan, 2023), and other fields. This fragmentation has resulted in dispersed conceptualizations and findings, limiting cumulative knowledge development and hindering the integration of distinct theoretical perspectives. Second, the literature has largely overlooked the inherently complex nature of venture exits, which evolve over extended periods and involve a multiplicity of actors (Wennberg & DeTienne, 2014). This temporal and multi-actor complexity spans multiple levels of inquiry (George & Jones, 2000; Hitt, Beamish, Jackson, & Mathieu, 2007; Mathieu & Chen, 2011)—encompassing founders' personal transitions, ventures' organizational restructuring, investor motivations, and environmental factors—thereby challenging existing theoretical understandings and calling for more nuanced and integrative approaches.

We review the multidisciplinary body of extant research on venture exits by examining 317 articles published in the *Financial Times* (FT) 50 journals between 1991 and 2025. We integrate empirical and conceptual findings to provide a holistic overview across all stages of the exit process—pre-exit, exit execution, and post-exit—and across multiple units of analysis, such as the individual (i.e., founders and employees), venture (i.e., organization), resource provider (i.e., investors and other partners), and broader environment (i.e., institutions and markets). We note common themes, identify predominant tensions, and explicate the theoretical underpinnings of the venture exit literature. Our review draws attention to key shortcomings and potential misconceptions in extant venture exit research, while offering a future research agenda that integrates new theoretical perspectives and methodological approaches to advance understanding in this domain.

Key to our future research agenda is the incorporation of a process perspective (Langley, 1999; Langley, Smallman, Tsoukas, & Van de Ven, 2013). We argue that a process lens offers a useful approach to address the literature's longstanding limitations, which include a narrow conceptualization of venture exits as one-off financial transactions, a tendency to examine distinct actors in isolation, and little attention to the variety of exit paths available beyond IPOs and acquisitions. Our research agenda thus offers new directions for future research that account for the multiplicity of actors, objectives, and resources influencing the unfolding of venture exits and outcomes over time.

Methodology

Literature Search and Inclusion

We screened articles related to venture exits published from 1991 to 2025 in journals included in the FT 50 list, which has been used regularly as a basis for literature reviews in management research (e.g., Fonti, Ross, & Aversa, 2023; McGrath & Nerkar, 2023). To identify relevant articles, we used the Web of Science database. We searched for studies examining the partial or full transfer of ownership stakes in an entrepreneurial firm from its initial owners—such as founders, employees, and investors—to new owners. Our scope thus includes exit events such as IPOs (i.e., listing shares on a public stock exchange),

acquisitions (i.e., partial or full purchase of the venture), secondary sales (i.e., sale of existing shares by current owners to new owners), management buy-outs (MBOs) (i.e., purchase of a company by its existing management team), leveraged buy-outs (LBOs) (i.e., buyout financed primarily by borrowed funds), and other adjacent exit events with distinct motivations, such as acqui-hires (i.e., purchase with the objective to acquire target ventures' employees). This understanding of venture exit reflects how the term is commonly used in both entrepreneurial practice (e.g., Gans, 2009; Parang, 2022) and much of the academic literature (e.g., Bowen III, Frésard, & Hoberg, 2023; Pahnke, Sirmon, Rhymer, & Campbell, 2023).

To conduct the literature search in accordance with our scope, we used keywords related to entrepreneurial ventures *in conjunction* with exit-related keywords. We initially defined keywords that reflect the entrepreneurial venture setting (e.g., founder, venture, and entrepreneur). Additionally, we used keywords related to venture investors as they are important facilitators of the venture exit process (e.g., VC, corporate VC, business angels, crowdfunding, and family offices). Importantly, keywords related to venture investors represent an additional consideration in our literature search, which we employ as an extension of, but not in conjunction with, the general venture-related keywords. This is important as we consider articles on venture exits that theorize or empirically test venture financing elements and articles that do not.³

With respect to exits, we use keywords related to different forms of ownership exits (e.g., exit, IPO, acquisition, trade sale, secondary sale, MBO, and LBO). For all keywords, we use the word root to capture both alternative spellings and adjacent exit types. For example, using the truncation “management buy*” allows us to capture alternative spellings (e.g., “buy-out” and “buyout”) as well as related, but different, types of this exit phenomenon (e.g., “management buy-ins”). To conduct the search in line with our scope, we linked venture-related keywords with exit-related keywords. For example, we jointly considered the keyword “entrepreneur*” with “exit*,” or “venture cap*” with “acquisition*.” In sum, we ran search queries with all possible combinations of venture-related and exit-related keywords. In Online Supplement 2, we provide detailed and step-by-step insights into the literature search process and the search queries used.

Overall, our search yielded a sample of 741 research articles after removing duplicates. We then screened each article to ensure it genuinely examined venture exits in line with our definition and scope. Given that some of our keywords have multiple meanings in the literature, some search results were unrelated to our scope of interest. To determine whether a study fit within our scope, we relied on three systematic exclusion criteria.

First, in line with our definition, articles had to study events through which the initial owners of the venture (e.g., founders, employees, and investors) transfer their ownership stakes to new owners. This excludes, for example, articles on venture failure, mere founder emotional disengagement, market exits, or team member departures that do not involve ownership transfers.

Second, articles had to study entrepreneurial ventures instead of long-time established firms (Bruton, Chahine, & Filatotchev, 2009; Souitaris, Peng, Zerbinati, & Shepherd, 2023). To ensure that all included studies focused on entrepreneurial ventures, we applied a structured and stepwise approach with three (hierarchical) criteria. As the primary criterion, we relied on the terminology used by the original authors (e.g., “entrepreneurial firm,” “venture exit,” “entrepreneurial IPO,” or “venture acquisition”) to determine whether the focal firms

studied in the respective articles were positioned as entrepreneurial ventures. If an article explicitly framed the focal firms as entrepreneurial ventures, we included it. If this was not the case, and the subject under consideration was referred to as “firm” or “company” instead of “venture,” “entrepreneurial firm,” “start-up,” or similar, we considered a secondary criterion. Concretely, we examined whether the article theorized or tested the involvement of venture investors (e.g., VC or business angel investors), which is widely accepted as a strong indication of an entrepreneurial venture setting (Drover, Busenitz, Matusik, Townsend, Anglin, & Dushnitsky, 2017). If this criterion was satisfied, we included the article. If a study did not meet the previous criteria (i.e., it did not use venture-related terminology and offered no indication of venture investor involvement), we turned to a tertiary criterion, the reported mean firm age of the sample. Previous literature has used a maximum firm age of 12 years to define entrepreneurial ventures in the context of exits and related phenomena (e.g., Benson & Ziedonis, 2010; Hellmann & Puri, 2002; Souitaris et al., 2023). We acknowledge the challenges associated with using firm age as a cut-off, especially as articles typically report only mean levels and may include both entrepreneurial ventures and more established firms. Therefore, we include articles in which the mean firm age and its standard deviation indicate that at least a substantial portion of the sample consists of entrepreneurial ventures, operationalized as firms that are no older than approximately 12 years. If neither of these three criteria were satisfied, we excluded the article.

Third, we excluded articles that study exit via family firm succession, given its distinct theoretical focus and the existence of multiple comprehensive reviews on this topic (e.g., Baltazar, Fernandes, Ramadani, & Hughes, 2023; Daspit, Holt, Chrisman, & Long, 2016; Reif, Bauer, Junge, & Hossnofsky, 2025). Importantly, and in line with the first two exclusion criteria explained previously, we include family firm articles if they study family-owned entrepreneurial ventures and pursue exit paths other than family succession (e.g., Chirico, Gómez-Mejía, Hellerstedt, Withers, & Nordqvist, 2020).

Overall, this exclusion procedure resulted in the elimination of 424 articles, leading to a final sample of 317 research articles.

Literature Coding

We employed a structured approach for reviewing our articles (Simsek, Fox, & Heavey, 2023). In the first step, the first author gathered the essential information on each research article in a comprehensive database. This included information on the author(s), journal outlet, and abstract. In the second step, the first author developed a coding scheme, which was reviewed and refined by the coauthors. This coding scheme captured all relevant information on each article, including the variables of interest, underlying theories, potential tensions among stakeholders considered, methodology, and key findings. Moreover, to ensure that we holistically captured the phenomenon of venture exits, we classified all findings along three phases: pre-exit, exit execution, and post-exit. For quantitative articles, we did so by considering the study’s dependent variable (DV). For example, if the DV was the probability of realizing an exit, then we classified the article as “pre-exit” (e.g., Wang, Pahnke, & McDonald, 2022). We classified studies as examining exit execution when their DVs captured contemporaneous attributes of the exit transaction itself, such as valuation or IPO underpricing (e.g., Arthurs, Hoskisson, Busenitz, & Johnson, 2008). Finally, if the DV followed the completion

of an exit (e.g., post-IPO performance), we categorized the article as “post-exit” (e.g., Kroll, Walters, & Le, 2007). For nonempirical articles (i.e., articles based on conceptual development or mathematical modeling) and studies employing qualitative designs, we used their focal phenomenon or central research question for classification. For example, an article drawing on mathematical modeling to theorize about how VC-entrepreneur dynamics shape exit timing decisions was coded as “pre-exit” (Hori & Osano, 2013), while a qualitative study exploring how entrepreneurs psychologically engage during the actual venture exit process was coded as “exit execution” (Rouse, 2016).

Additionally, we extracted information on the unit of analysis of each article (i.e., individual, venture, resource provider, or environment) by considering the underlying theorizing and variables used. In the third step, the author team coded and cross-checked all articles based on the coding scheme. If an article’s coding was unclear, the authors resolved any uncertainty through discussions.⁴ We present all 317 research articles, classified by their dominant phase and unit of analysis, in Online Supplement 3. Online Supplement 4 provides descriptive insights and visualizations that serve as an overview of all articles along disciplinary orientation, the type of exit event, and the split by phase and unit of analysis. Moreover, Online Supplement 5 provides a heatmap that visualizes the distribution of all articles along each phase and unit of analysis.

Extant Research on Venture Exits

Based on our classification of extant literature, we propose a unified model that integrates venture exit research along the pre-exit, exit execution, and post-exit phases. For each phase, we synthesize the current state of research⁵ along multiple units of analysis: the individual, venture, resource provider, and environment (see Figure 1).

Pre-Exit Phase

The pre-exit phase encompasses the intentions that influence exit decisions and the conditions that affect the likelihood of realizing an exit event. Our review reveals that, to date, research in this phase has primarily examined the role of individual intentions and endowments, a venture’s ownership, structures and resources, the actions and characteristics of key resource providers, and broader market and regulatory conditions. Moreover, the literature has focused on how these factors affect the likelihood of exiting, with the most attention given to IPO and acquisition exits and the role of resource providers therein.

Individual

Founders are the key decision-makers who must decide whether to pursue an exit. In addition, founders’ characteristics and predispositions affect the organization, its strategy, and external perceptions of the venture—thereby substantially influencing the likelihood of realizing an exit event. Two overarching mechanisms explain how founders develop their exit choices and influence the likelihood that their ventures can achieve an exit: (1) intentions and (2) endowments.

Intentions. The literature documents the role of a founder’s nonfinancial and financial motivations in influencing their exit intentions and choice of exit path. Specifically, a

Figure 1
Synthesis of Extant Venture Exit Research

	Pre-exit	Exit execution	Post-exit
Individual	Founder intentions • Nonfinancial motivations • Financial motivations Founder endowments • Social ties • Human capital • Psychological capital	Founder reputation and signaling • Background • Characteristics • Behaviors Founder equity retention and agency conflicts • Control mechanisms • Adverse selection and moral hazard Founder emotional and identity considerations • Psychological disengagement • Emotional coping	Role dynamics at the focal venture • Founder knowledge and power • Employee departure New employment opportunities • The founder penalty • Founder track record Founder's assessment and allocation of personal funds • Personal benefits • Philanthropic activity
Venture	Financial considerations • Revenue thresholds • Access to capital Funding levels • Funding levels Founding teams and ownership • Composition and structure • Socioemotional objectives Organizational resources • Symbolic resources • Human capital • Technological resources • Resource configurations	Organization and structure • TMT and board composition • Incentive schemes Organizational signaling • Identity, narratives, and symbols • Impression management • Resources Exit governance and performance outcomes • Earnings management • Board composition • Shareholder agreements • Listing location • Valuation, pricing, and returns	Performance outcomes • Financial operating outcomes • Survival Innovation performance • Strategy shifts • Collaboration opportunities • Resource allocation and strategic objectives Management of information frictions • Tacit knowledge and governance • Maintenance of existing relationships
Resource provider	Selection and certification • Screening, evaluating, and investing Reputation signals • Reputation signals Resource sharing • Human capital • Expertise • Network Governance and incentives • Control rights • Monitoring • Financial and reputational motives	Process facilitation • Governance and monitoring • Proficiency • Renegotiation Reputation leveraging • Ethical issues and goal conflicts • Transfer through association • Media and analyst coverage Ownership considerations • Sales of secondary shares • Retainment of equity stakes	Future investment activities and outcomes • Future fundraising • Exit probability of subsequent investments Social assessments • Status • Reputation Navigating the information environment • Information advantage • Learning benefits
Environment	Regulatory environment • Exit incentives • Formal institutions Market conditions • Hot and cold markets	Regulatory environment • Listing requirements • Shareholder protection Market and institutional conditions • Uncertainty • Hot and cold markets • Democracy	Founding of new ventures • Reduced uncertainty • Perceived exit potential Third-party behavior • New institutional norms • Shifts in resource allocation

Notes: We present explanations for each theme and the subcategories along the three phases (i.e., pre-exit, exit execution, post-exit) and four units of analysis (i.e., individual, venture, resource provider, environment). Notably, some aspects may relate to specific exit types while others are uniformly important in the realization of venture exits (e.g., human capital, agency conflicts, etc.). In our respective elaborations, we specify the concrete exit types associated with the presented categories.

founder's nonfinancial motivations, such as the desire to maintain independence and avoid disruptions to their personal lives and their employees, can influence how they exit their ventures. For instance, in the context of acquisitions, a desire to maintain autonomy and preserve the well-being of employees is a key concern for founders as they consider prospective buyers for their ventures (Graebner, 2009). Founders with greater autonomy also have more discretion to care for their employees and will consider an exit path such as an employee buyout rather than an exit that only prioritizes their shareholders (DeTienne, McKelvie, & Chandler, 2015). Founders and venture managers are also more inclined to sell their firms to avoid stress and potential disruption to their personal relationships (Graebner & Eisenhardt, 2004), the latter of which is felt more acutely by female founders, who are more likely to sell than their male counterparts to preserve their personal bonds (Justo, DeTienne, & Sieger, 2015). Financial motivations are another key influence on a founder's choice of exit path. A desire to accumulate financial wealth can push founders to avoid exit paths perceived as less lucrative, such as employee buy-outs or family ownership transfer (DeTienne et al., 2015). Founders are also more likely to sell their ventures for immediate financial gain rather than to liquidate or pursue a distressed sale, especially when they have more prior experience and are older (Wennberg, Wiklund, DeTienne, & Cardon, 2010). Further, founders may choose certain exit paths, such as an IPO or sale, as an option to mitigate downside risk to their financial wealth (Wang, Wang, & Yang, 2012).

Endowments. The literature also reveals the importance of a founder's endowments in influencing whether their ventures can achieve an exit event. The underlying mechanism across this research is that a founder's endowments, such as social and human capital, enable access to key resources and information that improve the chances that their venture can achieve an exit, primarily through IPO or acquisition. One important endowment is a founder's social capital. A founder's ties to existing resource providers (e.g., investors) can foster trust, and their embeddedness in informal networks can facilitate resource access (Guzman & Kacperczyk, 2019; Hearn & Filatotchev, 2019; Shane & Stuart, 2002), which improves the likelihood that their venture can achieve an eventual exit via IPO or acquisition. A founder's human capital is also important as it provides informational and expertise-based advantages that better position their venture to achieve an exit event. For example, prior professional experience can provide founders with the tacit knowledge required to select the most promising projects for their ventures (Fuller & Rothaermel, 2012), the skills to commercialize knowledge intensive innovations (Roche, Conti, & Rothaermel, 2020), and expertise that allows their venture to access relevant knowledge from established partners (Balachandran, 2024)—aspects that improve the chances of achieving an exit via IPO or acquisition. Less studied but equally important are a founder's psychological endowments such as identification and commitment. Compared to nonfounders, founders have strong identification with and psychological ownership of their ventures (Wasserman, 2006). This close identification can lead founders to be more active in promoting their ventures to external audiences, which helps garner positive evaluations, and ultimately improves the chances of exit via IPO (Howard, Kolb, & Sy, 2021).

Venture

The literature documents specific venture-related mechanisms that can influence exit paths and likelihood. Extant research highlights how this occurs through: (1) financial considerations, (2) founding teams and ownership, and (3) organizational resources.

Financial considerations. Financial considerations at the venture level can provide an important explanation for the choice of exit path and timing. For example, the timing of IPO decisions can be modeled as a function of a venture's operational capacity and prior profits (Babich & Sobel, 2004) or as a trade-off between the benefits of accessing lucrative cash flows from public markets and the founder remaining in control (Benninga, Helmantel, & Sarig, 2005; Chemmanur & Fulghieri, 1999). Financial considerations can also influence the pursuit of an acquisition. A venture's need for capital to expand operations (Bruno, McQuarrie, & Torgrimson, 1992), to realize economies of scope (Gao, Ritter, & Zhu, 2013), or to repay existing debt (Chen, Miao, & Wang, 2010) can push it to pursue an acquisition, which provides both capital and access to the acquirer's resources (Graebner & Eisenhardt, 2004). Likewise, financial considerations can explain the choice to pursue an IPO. Ventures are more likely to go public rather than be acquired in order to capitalize on increasing sales (Chemmanur, He, He, & Nandy, 2018) and to grab market share in industries where economies of scale are important for survival (Schultz & Zaman, 2001).

Founding teams and ownership. Although still scarce, research has examined how the composition of founding teams and the nature of ownership affect a venture's exit timing and likelihood. In particular, founding teams with diverse skills, abilities, and experiences have access to a broader range of resources and knowledge, which helps their ventures reach critical milestones more quickly and increases both the likelihood of exiting via IPO or acquisition (Elitzur, Gavius, & Milo, 2024) and the speed to exit (i.e., by IPO) (Beckman & Burton, 2008). The composition of a new venture's initial owners can also affect exit choices. For example, family owners may be less inclined to sell their ventures. However, when faced with declining performance, family owners will seek an exit, such as a merger, that maintains partial ownership and avoid an exit that entails a complete ownership loss (e.g., sale) (Chirico et al., 2020). The theoretical rationale is that family owners of entrepreneurial ventures are more inclined to choose an exit path that preserves their ownership in order to maintain their socioemotional wealth, reflecting an important consideration in family-owned ventures.

Organizational resources. Among venture-related mechanisms examined in the pre-exit stage, the most attention has been given to understanding how organizational resources affect whether a venture can achieve an exit. Drawing from the resource-based view (Barney, 1986) and signaling theory (Connelly, Certo, Reutzel, DesJardine, & Zhou, 2025; Spence, 1973), the literature has examined how certain resources can convey a venture's quality to external audiences and enable access to subsequent resources—ultimately increasing a venture's likelihood of realizing an IPO or acquisition exit. For example, symbolic resources in the form of prestigious affiliations with directors, underwriters, and strategic partners can signal a venture's quality and legitimacy to outsiders (Pollock, Chen, Jackson, & Hambrick, 2010). Such affiliations can reduce a venture's perceived uncertainty and increase the likelihood of achieving an exit via IPO or acquisition (Hoehn-Weiss & Karim, 2014). In the case of IPOs, such affiliations can also shorten the time to exit (Stuart, Hoang, & Hybels, 1999). Ventures can also signal their quality through additional paths to improve their chances of exiting. For instance, ventures with a successful crowdfunding campaign can signal their quality to prospective investors on secondary markets (Lukkarinen & Schwenbacher, 2023). Additionally, ventures can signal strategic value to prospective acquirers through a customer-focused

orientation (Renko, Yli-Renko, & Denoo, 2022) and participate in a new technology standard to increase their visibility and improve the chances of exiting by IPO or acquisition (Waguespack & Fleming, 2009).

Beyond symbolic resources, a venture's human and technological resources can also affect exit likelihood via IPO or acquisition. Ventures possessing robust human capital, in the form of highly skilled employees who can contribute their knowledge and expertise, are more likely to exit through these paths (Andersson & Xiao, 2016; Chen, Hsieh, & Zhang, 2021; Dimmock, Huang, & Weisbenner, 2022). Human capital can also influence the choice of a specific exit path. For example, ventures reliant on the specialized knowledge of their employees will avoid certain exits (i.e., secondary share sales) that make it easier for their employees to leave (Junkunc, 2007). Technological resources are also important to achieve an exit via IPO or acquisition (Andrews, Fazio, Guzman, Liu, & Stern, 2022). The possession of technological resources can increase a venture's attractiveness for potential acquisition (Pahnke et al., 2023) and signal quality to prospective IPO investors (Bowen III et al., 2023; Mann & Sager, 2007).

While the literature has mainly isolated the effects of individual resources on exit outcomes, recent research shows the importance of considering holistic resource configurations. For example, Pahnke et al. (2023) find that new ventures that combine an early product with patents and VC investment can use their technology and product to garner more attention and increase the likelihood of an IPO exit. They also show that bundling patents with VC investment in a fertile environment can enable a venture to use its technology and investors' social capital to find a prospective buyer.

Resource provider

The role of resource providers has received substantial attention in research addressing the pre-exit stage. This research stream documents how resource providers (i.e., investors and various strategic partners) influence exit through: (1) selection and certification, (2) resource sharing, and (3) governance and incentives. The predominant focus of this research is on understanding how these mechanisms affect exit likelihood in the context of IPOs and acquisitions.

Selection and certification. Resource providers, especially professional investors such as VCs, can identify and invest in promising new ventures that are more likely to exit via IPO or acquisition. VCs rely on the information gained from prior investing ties (Balachandran & Hernandez, 2021), their investing experience (Yang, Narayanan, & Zahra, 2009), publicly available information (Gibbons, 2023), and intermediaries (Yimfor, 2025) to select and invest in ventures that have a higher likelihood of exit via IPO or acquisition. Resource providers can also certify a venture's quality through their affiliation and commitment of resources. Certification alleviates uncertainty surrounding a venture (Amit, Brander, & Zott, 1998), enables resource flows, and ultimately improves the likelihood that a venture achieves an exit through IPO or acquisition. Notably, this certification mechanism is robust across a variety of resource providers. For example, investment by reputable and highly embedded VCs can certify a venture's quality and improve the likelihood of exit via IPO or acquisition (Hsu, 2006; Ragozzino & Blevins, 2016). Endorsement by prestigious partners can similarly enhance a venture's chances of exiting through these same paths (Ozmel, Robinson, &

Stuart, 2013; Stuart et al., 1999). Further, certain resource providers may provide differential certification effects that affect a venture's ability to exit. For example, angel investors, who invest smaller amounts and are relatively less visible than VCs, do not offer the same material resources and certification benefits that VCs provide (e.g., larger funding amounts, greater visibility, and reputational resources) in promoting successful IPO or acquisition exits (Cumming & Zhang, 2019). However, angel investors who invest through groups do provide valuable advice, networks, and resources that enable their portfolio ventures to exit (Kerr, Lerner, & Schoar, 2014).

Resource sharing. Resource providers can also affect whether a venture realizes an exit through the resources they provide. This research has mostly focused on VCs' resources, such as their human capital, experience, and networks, that can assist new ventures in achieving an exit event. One stream focuses on the role of investors' human capital on exit likelihood. VCs can apply their general (e.g., education) (Dimov & Shepherd, 2005) and task-specific human capital (e.g., prior exits, investments) (Eldar & Grennan, 2024; Ewens & Rhodes-Kropf, 2015; Nanda et al., 2020; Sørensen, 2007; Zarutskie, 2010) to guide their ventures to achieve an exit via IPO or acquisition (Lungeanu & Zajac, 2016), while investors that lack such human capital face more difficulty in helping their ventures to achieve similar exit paths (Amore, Conti, & Pelucco, 2023).

Additionally, investors' network resources can affect exit likelihood. VCs often rely on syndicates comprising multiple investors to share deal flow and co-invest in funding rounds. Through these syndicates, VCs can draw on the knowledge of their investing partners to gain insight into geographically and culturally distant markets (Dai, Jo, & Kassicieh, 2012; Dai & Nahata, 2016; Jääskeläinen & Maula, 2014; Khurshed, Mohamed, Schwenbacher, & Wang, 2020) and share effort and information to advise ventures (Bayar, Chemmanur, & Tian, 2020; Hochberg, Ljungqvist, & Lu, 2007)—all of which improve the likelihood their ventures can achieve an exit via IPO or acquisition. Moreover, the nature of collaboration between investors can influence a venture's exit path. For example, investors with a close collaborative relationship can draw on their shared knowledge and encourage ventures to develop specialized assets that are difficult for public markets to value, thereby favoring acquisition exits. In contrast, investors with less collaborative experience and more heterogeneous perspectives may encourage ventures to develop products and technology that appeal to wider audiences and require larger-scale financing, making IPOs more likely (Wang et al., 2022). However, this stream also suggests that the benefits of network resources for exiting diminish when there is competition among syndicate partners (via their portfolio firms in the same market niche) (Makarevich, 2018) and when there are redundancies between investors (Bellavitis, Rietveld, & Filatotchev, 2020).

Governance and incentives. Finally, resource providers (i.e., investors) can influence exit paths and likelihood through their governance over ventures. In line with agency theory and moral hazard logic, investors can use various control rights (e.g., founder replacement and board control) (Cumming, 2008) and monitoring (Gompers, 1995) to align founders' incentives with their own and mitigate agency problems. VCs with strong investor control rights can push founders to agree to an acquisition exit that benefits investors at the expense of founders (who can be ousted after acquisition), while VCs with weak control rights are less

able to make necessary governance changes to the venture, raising the likelihood a venture exits by write-off (Cumming, 2008). Investor monitoring is also important in influencing exit likelihood and exit timing. Investors can closely monitor founders to ensure a venture is on track to reach developmental milestones that increase the likelihood of exiting via IPO or acquisition (Bernstein, Giroud, & Townsend, 2016; Hegde & Tumlinson, 2014). At the same time, if investors assume monitoring costs will increase, they may encourage a venture to pursue an earlier IPO in order to liquidate their holdings (Hori & Osano, 2013).

Further, investors' incentives can influence a venture's exit timing and paths. Investors' incentives typically center on the need to return capital to limited partners (Sahlman, 1990) and thereby establish a track record that helps them raise subsequent funds for future investment (DeSantola et al., 2024). To achieve these goals, VCs with limited track records will push their ventures to pursue an early IPO in order to establish a reputation (i.e., perceived quality and credibility) to raise future funds (Gompers, 1996). When faced with imminent liquidity constraints due to a maturing fund, VCs will also seek to exit their investment through a secondary sale if a venture is not ready for an IPO (Andrieu & Groh, 2021).

Environment

Lastly, the literature has paid the least attention to environmental factors in the pre-exit phase. The limited research available examines how aggregate exit rates and the likelihood for realizing an exit are affected by two mechanisms: (1) the regulatory and institutional environment and (2) market conditions.

Regulatory and institutional environment. The prevailing regulatory environment can affect exit rates at the aggregate level. The key mechanism explaining this relationship is that changes in the regulatory environment can impact the incentives of existing and incoming venture owners that then influence exit frequency. Two notable regulatory changes provide evidence for this mechanism. One involves the introduction of the National Securities Markets Improvement Act in the United States in 1996. After the passage of this law, it became easier for privately owned ventures to raise funds from investors across multiple states and for investors to raise larger amounts of capital. This led to lower IPO rates as ventures could stay private for longer while raising more funding to achieve scale (Ewens & Farre-Mensa, 2020). A second example involves a regulatory change that raised costs for prospective buyers, discouraging exits by acquisition. In U.S. states that passed a law (product line exception) making acquirers legally liable for products previously made by the selling firm, the acquisitions of firms declined compared to states that did not pass this law (Balasubramanian, Sivadasan, & Xu, 2024).

Moreover, institutional differences can play an important role for exits. The presence or absence of formal institutions can affect transparency, contract enforcement, and property rights between transacting parties that can serve as a key contingency in influencing a venture's preparation and exit probability (Brander, Du, & Hellmann, 2015). For example, the presence of developed institutions can enable investors to find professional managers through a robust labor market, thereby making investors less dependent on founder-CEOs when preparing for an IPO (Hearn & Filatotchev, 2019). Also, minority investors (i.e., business angels) typically have fewer control rights than VCs when they invest in new ventures, which can negatively impact their ability to achieve an exit compared to VCs. However, this negative

effect is attenuated in countries with stronger legal protection for minority investors, as such institutional protections substitute for limited contractual protections (Cumming & Zhang, 2019).

Market conditions. Finally, market conditions can influence the choice of exit path. Ventures are sensitive to market competition and may pursue exits as a way to minimize competitive distance with their rivals. For example, a venture is more likely to go public after observing a direct competitor pursue an IPO (Aghamolla & Thakor, 2022). Relatedly, scholars have modeled and demonstrated that a venture is more likely to go public rather than be acquired when product market competition is increasing (Bayar & Chemmanur, 2011). Moreover, aggregate IPO rates are influenced by broader market sentiments. A venture's likelihood of achieving an IPO is higher during "hot markets" as optimistic market conditions can entice prospective investors to purchase shares, increasing the valuations of ventures going public (Ball, Chiu, & Smith, 2011; Lowry, 2003). In sum, the literature reveals the importance of a venture's regulatory, institutional, and market environments in affecting aggregate exit rates and the likelihood of achieving an exit. With a few exceptions, this research has examined developed, Western institutional contexts, such as the United States and Europe. This suggests an opportunity to explore the role of environmental influences outside these settings.

Exit Execution Phase

The exit execution phase reflects the unfolding of the actual exit event—that is, the period during which the venture's ownership transfer is actively negotiated, structured, and implemented. This includes the strategic, financial, legal, and psychological processes involved in finalizing ownership transfer—a phase that is typically characterized by interactions between existing and incoming owners and initial exit performance outcomes. Our review shows that literature on this phase of the venture exit process is heavily focused on IPOs, with very little research on other exit paths (e.g., acquisitions, buy-outs, and secondary sales). We return to this aspect in greater detail in the future research section.

Individual

At the individual unit of analysis, exit execution research has predominantly focused on three themes: (1) reputation and signaling, (2) equity ownership and agency conflicts, and (3) emotional and identity considerations.

Reputation and signaling. As the lead founder typically embodies the vision, strategy, and image of the venture, founder-related factors play an important role in the public perception of an exit (Howard et al., 2021). Similar to research in the pre-exit phase, this stream of research has drawn substantially on signaling theory (Connelly et al., 2025; Spence, 1973). The main theoretical rationale is that founder characteristics and actions can serve as powerful quality signals that reduce uncertainties during exit execution, which are particularly salient in IPO settings. As Ritter and Welch (2002) note, "After all, small [i.e., public market] investors cannot take a tour of the firm and its secret innovations." That is why, for example, founder prestige—typically captured through founders' external board appointments and

interorganizational ties—has been found to serve as an important quality signal that significantly predicts lower levels of underpricing (Chahine, Filatotchev, & Zahra, 2011). In comparison, the signaling effect of prior founder experience during exit execution appears to be more nuanced. Thus far, research shows that public market investors penalize generalist lead founders relative to founders with specialized experience, particularly due to lower levels of trust in such founders (Souitaris et al., 2023).

Equity ownership and agency conflicts. Venture exit events often raise the question of whether founders retain their equity stakes (Souitaris, Zerbinati, Peng, & Shepherd, 2020). Prior research shows that founders are less likely to sell their equity during exit execution when the venture depends highly on specialized technological knowledge (Junkunc & Eckhardt, 2009). This constraint reflects the potential new owners' concerns that founder divestment would weaken incentives for continued commitment in settings where the venture's competitive advantage depends on specialized human capital. Moreover, higher levels of technical specialization exacerbate information asymmetries, limiting the ability of potential new owners (i.e., outsiders) to properly assess venture value. As a result, founder equity retention serves as a mechanism to mitigate moral hazard and adverse selection by signaling continued commitment and aligning incentives after exit (Junkunc & Eckhardt, 2009).

However, the relationship between founders' equity retainment during exit execution and associated agency conflicts (e.g., adverse selection and moral hazard) is complex (Bruton et al., 2009). A founder's retainment of larger ownership shares during the IPO listing process signals their belief in the venture, which reduces adverse selection problems for public market investors (Cable & Shane, 1997) and results in less underpricing (Bruton et al., 2009). Yet, once founders' ownership retainment during IPO exceeds an inflection point, their high sunk costs and risk-taking can result in irrational behavior (i.e., higher levels of moral hazard), which in turn increases IPO underpricing (Bruton et al., 2009). Relatedly, another source of tension is the employment of mechanisms that enhance founder control during exit execution, such as separating ownership from actual voting rights (Smart, Thirumalai, & Zutter, 2008). The use of such mechanisms raises concerns about a founder's potential opportunistic behavior and governance entrenchment, which lowers valuation at IPO (Fattoum-Guedri et al., 2018).

Emotional and identity considerations. As an exit event often marks a personal transition for the founder, the consideration of emotional and identity-related consequences (Crosina et al., 2024) during exit execution is of particular importance. The limited evidence that exists shows that founders may begin to psychologically disengage during this phase. For example, founders undergoing an acquisition exit exhibit two work-related orientations, which reflect different approaches toward disengagement and emotional coping: self-fortifying (i.e., self-focus, emphasis on own ideas, and motivation to realize personal benefits) or stewarding (i.e., social focus, motivation by relations with others and potential impact) (Rouse, 2016). More specifically, founders with a self-fortifying orientation typically engage in "idea stockpiling" (i.e., listing ideas to pursue after venture exit), which leads to the expression of positive emotions and excitement about their next venture project. In contrast, founders with a stewarding orientation show more negative emotions during disengagement, yet they empower others and facilitate recruiting processes to foster organizational growth (Rouse, 2016).

Venture

At the venture unit of analysis, we find that exit execution research centers on three overarching themes: (1) organization and structure, (2) organizational signaling, and (3) exit governance and performance outcomes.

Organization and structure. As a venture enters the exit execution process, its organization and structure become particularly important factors—both for the efficient facilitation of the exit and for the broader perception of the venture's quality among outsiders (i.e., potentially incoming owners). The composition of the venture's top management team (TMT) and board of directors is a particularly important factor during exit execution as they directly influence valuation outcomes at exit (Wang & Song, 2016). Further, incentive schemes have an important role during exit execution. For example, building on behavioral agency and multiple-agency perspectives, research shows that the use of equity-based incentive schemes at IPO (i.e., performance-based vesting conditions) varies with the venture's ownership structure and the power dynamics among its initial owners. Greater share ownership and board power held by founding directors are associated with less use of such schemes, reflecting founders' financial and personal stakes in the venture and their ability to resist incentive-related agreements that could increase risk. In contrast, retained ownership by VCs is associated with greater use of equity-based incentive schemes, as VCs seek to maintain alignment and discipline following an IPO, when direct control is reduced (Allcock & Filatotchev, 2010).

Organizational signaling. Complementing research that examines founder-related signaling, organizational signaling plays a critical role during exit execution. One key set of signals includes a venture's identity, narratives, and symbols, which have been found to have an important effect on valuation at IPO (Martens, Jennings, & Jennings, 2007). Moreover, a venture's cumulative human capital (e.g., indicated by TMT heterogeneity) signals higher quality, leading to higher amounts of capital raised during IPO exit execution (Zimmerman, 2008). Additionally, given the influence that disclosed information can have on new owners during IPO execution, a venture's use of impression management and obfuscation of certain information can positively influence performance at exit (Benson, Brau, Cicon, & Ferris, 2015). Lastly, the availability of slack resources signals quality to potential new venture owners, thereby increasing valuation (Mousa & Reed, 2013).

Exit governance and performance outcomes. The efficient facilitation of an exit requires ventures to carefully consider a range of governance-related decisions. For example, ventures transitioning to public ownership by undergoing an IPO exit must adopt new governance structures, including practices related to earnings management, shareholder rights agreements, and board composition (Hochberg, 2012). In the context of IPO exits specifically, factors determining venue selection are of particular importance to understand exit execution. Once ready for an IPO, decision-makers may encounter trade-offs when choosing where to list. While listing abroad can result in greater long-term investor access and reputational benefits, listing domestically reduces uncertainty and barriers related to regulatory requirements (Bai, Tsang, & Xia, 2020; Ding, Nowak, & Zhang, 2010).

Moreover, an important share of extant work has studied exit execution performance, predominantly in the context of IPOs and acquisitions. As discussed in the previous sections, this work largely relies on a range of financial outcome measures related to the exit transaction, such as valuation (Gornall & Strebulaev, 2020; Yao & O'Neill, 2022), proceeds (Souitaris et al., 2023), pricing (Daily, Certo, & Dalton, 2005; Duong, Goyal, Kallinterakis, & Veeraraghavan, 2022), or market reactions (Masulis & Nahata, 2011). However, despite the variation in the specific indicators used, the literature predominantly adopts a transactional perspective on exit execution. This perspective typically treats the exit as a discrete financial event, emphasizing how venture characteristics signal value and how market actors (e.g., public market investors) respond based on their expectations.

Resource provider

Research on exit execution has paid considerable attention to the role of resource providers, including investors, underwriters, and consultants. Specifically, the literature focuses on three broad topics: (1) process facilitation, (2) reputation leveraging, and (3) ownership considerations.

Process facilitation. Resource providers, and particularly early investors, often assume governance and monitoring functions that extend to the exit execution phase (Pollock, Porac, & Wade, 2004). Most research in this area has examined IPO exits. Given their experience and expertise, investors can facilitate exit execution processes for their portfolio ventures. For example, they may help initiate ownership transfers under conditions that promise favorable valuations (Lerner, 1994) or support the execution of exits in cross-border contexts by helping ventures to list in foreign markets rather than domestically (Zhang & Yu, 2017). Investors may also renegotiate cash flow rights (i.e., liquidation preferences) as part of exit execution (Broughman & Fried, 2010). Other research has examined how investors attend to ethical issues during exit execution. On one hand, VCs and prestigious underwriters tend to select and support more virtuous IPO ventures (McLeod, Moore, Payne, Sexton, & Evert, 2018). On the other hand, however, there are indications that investors are involved in questionable practices during exit execution, such as manipulating earnings to increase the offer price (Darrrough & Rangan, 2005).

Throughout the facilitation of the exit execution process, different types of tensions can arise (Pollock et al., 2004). For instance, building on the “grandstanding” thesis (Gompers, 1996), research suggests that younger VC firms face strong incentives to establish reputation among limited partners, which can increase pressure on portfolio ventures to pursue earlier exits. Such pressure is associated with lower valuations at exit execution in both IPOs and acquisition exits (Gompers, 1996; Yao & O'Neill, 2022). Similarly, VCs' existing financial ties with prospective acquirers can make them refrain from aggressive price negotiations for their portfolio ventures, resulting in lower takeover premia, which can disadvantage a venture's other equity owners (Masulis & Nahata, 2011). Such motives and actions point to goal conflict between investors and venture actors (i.e., founders or employees).

Tensions can also emerge between various resource providers. For example, during the IPO listing process, executives hire underwriters (e.g., investment banks) to serve as intermediaries between the public market and the venture (Corwin & Schultz, 2005). Underwriters conduct the due diligence, prepare the venture's prospectus with all relevant information, and

set the overall offer price in accordance with the issuer (Lyandres, Fu, & Li, 2018). However, while founders and investors typically aim to realize the highest returns possible (Darrough & Rangan, 2005), underwriters have an incentive to provide a lower share price in order to increase trading volume, satisfy institutional investors, and spur investments in future IPOs (Arthurs et al., 2008). As a result, agency problems and tensions may arise regarding the offer price and public relations strategy during IPO execution (Chahine, Colak, Hasan, & Mazboudi, 2020).

Reputation leveraging. As noted previously, resource providers may certify the quality of ventures in the pre-exit phase, increasing the probability of exit. Similarly, resource providers can transfer their reputations to their portfolio ventures during exit execution, influencing negotiations and price-setting. A venture's affiliation with resource providers, particularly when those providers (e.g., universities, VCs, and underwriters) are prominent, is associated with higher IPO valuations (Colombo, Meoli, & Vismara, 2019). Moreover, research adopting a sociological approach shows that reputation transfer from VCs to focal ventures during exit execution is amplified by VC attributes that strengthen reputational spillovers, such as VCs' experience intensity with IPOs, diversity of prior IPO experiences, and involvement in syndicated IPOs as a lead investor. These attributes allow outside investors to infer VC quality and transfer that reputation to the focal venture, thereby increasing the venture's IPO valuation (Chahine, Filatotchev, Bruton, & Wright, 2021). Additionally, coverage by media and industry analysts, as well as support by public relations consultants, are important determinants of a venture's reputation during IPO execution (Chahine et al., 2020; Liu & Ritter, 2011).

Ownership considerations. Like individual founders, investors may have influence over whether to sell their equity stakes during exit execution or retain them for some time after the exit event (Li, Chi, Lan, & Wang, 2025). The extent of investor discretion depends upon the type of exit. For example, in IPO exits, prior investors typically have a lock-up period (e.g., 180-days) that precludes them from selling equity (Field & Hanka, 2001). After the expiration of this lock-up period, investors may engage in the sales of secondary shares⁶ under certain conditions. Similar to founders, investors are more likely to sell their secondary shares when ventures realize higher levels of product or service sales but are less likely to do so when ventures rely on specialized technical knowledge, as investor divestment in such contexts may signal adverse private information to outside buyers (Junkunc & Eckhardt, 2009).

Environment

At the broader environmental unit of analysis, we identify two main themes that have an important role in exit execution: (1) regulatory environment and (2) market and institutional conditions.

Regulatory environment. An important consideration underlying the exit execution process is the broader legal and regulatory environment in which the venture operates. Ventures must deal with legal issues throughout their lifecycles (Brown, Colborne, & McMullan, 1988), including at the time of exit. Legal and regulatory issues are particularly salient in the context of IPO exits, which are subject to extensive disclosure requirements, regulatory

oversight, and formal listing rules. Listing requirements vary substantially across different stock exchanges, and these differences can shape the means through which shares are distributed during IPO execution (Corwin & Harris, 2001; Gondat-Larralde & James, 2008). Notably, and in recognition of the distinct needs and constraints of entrepreneurial ventures in meeting stringent regulatory requirements, capital markets have evolved to include junior stock exchanges as alternative public listing venues (Eberhart & Eesley, 2018). These markets can provide high-growth ventures with public equity financing opportunities (Bernstein, Dev, & Lerner, 2020), while remaining more accessible due to more lenient listing requirements (Carpentier, L'her, & Suret, 2010). However, the less restrictive listing requirements also increase public market investors' concerns about potential adverse selection and expropriation by venture founders. Therefore, the introduction of stronger shareholder protection mechanisms at junior stock exchanges has been shown to increase investors' willingness to provide capital, and as a result, also increase the attractiveness of such listing venues for high-growth ventures (Bernstein et al., 2020).

Market and institutional conditions. The market conditions and institutional setting of a venture shape exit execution, particularly by influencing the level and nature of uncertainty faced by potential new owners. Favorable equity market conditions, which are often referred to as “hot” markets characterized by high valuations, reduce uncertainty and attract venture exits through the IPO route (Lerner, 1994), while also facilitating higher valuations at the time of exit (Nanda & Rhodes-Kropf, 2013). These dynamics likely lead to a reinforcing cycle, as higher valuations encourage IPO activity, which in turn increases future venture valuations. Market conditions also influence public market investors' attention to different types of uncertainty. For example, research shows that a venture's ties to prominent VCs are particularly beneficial when executing IPOs in “cold” market contexts, whereas ties to prominent underwriters pay off in “hot” IPO markets (Gulati & Higgins, 2003). Relatedly, uncertainty and information asymmetry problems in venture exits can be mitigated by the broader institutional context in which ventures operate. This is why, for example, a country's level of democracy—as an indicator of rule of law and regulated processes—is negatively related to IPO underpricing, especially in contexts characterized by lower shareholder protection mechanisms, where ventures have high agency problems and face general policy uncertainty (Duong et al., 2022).

Post-Exit Phase

The post-exit phase reflects the activities and dynamics that unfold after the completion of exit events. Research within this phase primarily considers how attributes or processes at the individual, venture, resource provider, or environmental unit of analysis change following an exit event. Notably, the specific type of exit realized has important implications for how roles, incentives, and activities evolve in the post-exit phase.

Individual

At the individual unit of analysis, three prominent themes exist in the post-exit phase: (1) role dynamics at the focal venture, (2) new employment opportunities, and (3) assessment and allocation of personal funds.

Role dynamics at the focal venture. An important set of questions pertains to whether founder-CEOs continue to work for the venture after an exit and, if so, in what roles. CEOs often embody critical venture-specific knowledge and value (Graebner, 2004). Therefore, following an acquisition exit, buyers are more likely to retain founder-CEOs to leverage their in-depth understanding of the venture during post-acquisition integration, and founder-CEOs are often motivated to remain because they typically have strong financial incentives to support post-acquisition success, such as equity stakes in the acquiring firm or contingent earn-out agreements (Aghasi, Colombo, & Rossi-Lamastra, 2022).

In the IPO context, psychological and power-based mechanisms provide important explanations for post-exit role dynamics. “Core” founders (i.e., lead founders who initiated venture creation) are less likely to resign as CEO, and this effect is more pronounced the longer the venture remained a private company, reflecting stronger organizational identification that develops through prolonged founder involvement before the IPO (Lee, Yoon, & Boivie, 2020). Moreover, founders with limited managerial power (Finkelstein, 1992) at the time of the IPO are more likely to leave the venture after an IPO, often reflecting frustration over diminished influence in post-IPO decision-making (Souitaris et al., 2020). Further, post-exit role dynamics extend beyond founders to employees. In the context of acquisition exits specifically, it appears employees often use an acquisition exit as an opportunity to leave the focal venture for personal or professional reasons, resulting in higher turnover among pre-exit employees compared to those hired after an acquisition exit (Ng & Stuart, 2022).

New employment opportunities. Since some individuals will depart from the venture following an exit event, the second prominent theme considers subsequent employment opportunities. Acquisition exits often serve as conduits for employees and founders to start new companies, with the effect most pronounced among founders and top earners (Kim, 2022). Serial founders who realize an IPO or acquisition exit are more likely to receive VC funding in subsequent periods, suggesting that they face less friction in the entrepreneurial finance marketplace than their untested peers (Wright, Robbie, & Ennew, 1997). Interestingly, this ability to obtain funding is particularly strong if the founders had a successful exit in *another* VC’s portfolio (Wright et al., 1997), seemingly working against the intuition that the advantage is due to social capital or mitigated adverse selection concerns. Turning attention to traditional employment, while founders may be viewed negatively when attempting to re-enter the workforce, experimental insights suggest that having a previous acquisition or buyout exit helps mitigate this penalty (Waddingham, Zachary, & Walker, 2024).

Assessment and leveraging of the exit event. Another important theme relates to how founders evaluate their exits and what they do with the financial windfall from those exits. Founders assess exit performance holistically, weighing financial gains alongside changes to their personal reputations, employee outcomes, and the persistence of the venture’s mission (Strese, Gebhard, Feierabend, & Brettel, 2018). Many founders also channel exit proceeds into philanthropic activities, trading off financial wealth for enhanced reputation, self-fulfillment, and societal impact. A founder’s intrinsic motivation, strong sense of identification with a particular cause, the exercise of personal power (i.e., power that stems from relationships rather than formal position) toward welfare, and stewardship norms have been shown

to shape whether and how they donate parts of their proceeds in the post-exit phase (Hans & Vissa, 2023; Mathias, Solomon, & Madison, 2017).

Venture

Given that exits can entail dramatic shifts to resource endowments and decision-making authority, extant work at the venture level has focused on post-exit dynamics related to ventures' (1) performance outcomes, (2) strategy shifts, and (3) management of information frictions.

Performance outcomes. Once an exit is no longer considered merely as an outcome, but rather as a step in a venture's lifecycle and development, the focus expands to evaluating venture performance after exit. In this literature, post-exit performance is assessed along three broad dimensions: financial operating outcomes, venture survival, and innovation performance. Perhaps most interestingly, for IPO samples, financial operating performance often decreases during the post-exit period, with ventures experiencing financial constraints and declines in sales, profitability, and return on assets (Jain, Jayaraman, & Kini, 2008; Jain & Kini, 1994). This pattern appears largely driven by the endogenous choice to pursue an IPO before a performance decrease occurs and the difficulty of navigating the transparency and accountability that comes with being a public entity (Chemmanur, He, & Nandy, 2010). However, performance declines can be mitigated by factors such as ownership retention by the founder, insider representation on the board, the quality of the TMT, and earlier stages of the industry life cycle, where growth opportunities are greater and competitive pressures less constraining (Jain & Kini, 1994; Jain et al., 2008; Robinson, 1999). Evidence from emerging market contexts suggests that social connections also shape ventures' post-IPO performance. For example, research on Chinese ventures shows that founders' political ties and relationships with external investors improve post-IPO performance by serving as informal governance mechanisms that help compensate for weaker formal investor protection (Cao, Ding, & Zhang, 2016). Relatedly, ventures from emerging economies backed by syndicates that combine local and international VCs exhibit stronger post-IPO operating performance compared to those backed by international-only or local-only syndicates. This effect reflects the complementarity between local institutional knowledge and international VCs' expertise (Chemmanur, Hull, & Krishnan, 2016).

Moreover, the chance of venture survival after an IPO improves when the venture possesses certain attributes. Specifically, when a venture possesses valuable social and human capital, has a longer tenured TMT (Fischer & Pollock, 2004), or is located in a region with denser social capital (Amini, Johan, Pour, & Mohamed, 2023), the prospects of survival after an IPO increase. In addition, post-IPO failure becomes less likely when ventures exhibit higher levels of entrepreneurial orientation at the IPO, especially when accompanied by working capital efficiency and higher technological turbulence (Kindermann, Schmidt, Pulm, & Strese, 2023).

Another stream of research relates to the impact of venture exit on post-exit innovation performance. For example, U.S.-based ventures undergoing an IPO or acquisition exit exhibit decreases in patenting and in the radicalness of domains explored (Aggarwal & Hsu, 2014; Wu, 2012). In the IPO context, one explanation is that new constraints on experimentation emerge from the challenge of convincing external stakeholders of the value of novel innovations

(Cabral, Francis, & Kumar, 2021; Sanders & Boivie, 2004). However, ventures with failure-tolerant investors prior to an exit have better post-exit innovation outcomes. Such investors are more willing to support risky experimentation and less likely to withdraw support prematurely, thereby helping to avoid venture liquidation and unrealized innovation potential (Tian & Wang, 2014). Interestingly, innovation following LBO exits exhibits important institutional differences, with U.K.-based ventures increasing new product development, while their U.S. counterparts focus more on asset disposals (Wright, Thompson, & Robbie, 1992). Lastly, an important stream of literature in the broader field of technology and small business acquisitions has studied the role of structural integration following acquisition exits (e.g., Puranam, Singh, & Chaudhuri, 2009; Ranft & Lord, 2002; Schweizer, 2005). In the context of entrepreneurial venture acquisitions, structural integration improves the buyer's ability to leverage the venture's knowledge base both for planned and serendipitous value creation (Graebner, 2004).

Strategy shifts. The post-exit phase often involves shifts to a venture's boundaries, given new resources available. IPO exits, in particular, can facilitate subsequent collaborations by increasing firm visibility and enhancing external actors' recognition of growth opportunities (McGee & Dowling, 1994; Reuer & Tong, 2010). Importantly, ventures can use the proceeds from IPO exits to acquire other firms as part of a growth strategy (Brau, Couch, & Sutton, 2012). At the same time, the post-exit period is associated with changes to a venture's resource allocation as new owners often have different strategic priorities. Such changes may involve integrating and rationalizing overlapping product offerings (Hsu, Li, Liu, & Wu, 2022), shelving competing products (Cunningham, Ederer, & Ma, 2021), or directing resources toward corporate social responsibility efforts (Alakent, Goktan, & Khoury, 2020).

Management of information frictions. IPOs are typically expected to increase transparency into a firm's operations. However, research suggests that information asymmetries remain after an IPO. Although the inclusion of outside board members after exit is often intended to strengthen monitoring and governance, these outsiders may face difficulties understanding novel technologies and strategies compared to insiders who possess tacit knowledge and an in-depth understanding of the venture's vision (Field & Lowry, 2022; Kroll et al., 2007). The persistence of such information asymmetries is one reason that ventures that go public may maintain pre-existing bank relationships, as banks possess "soft" information accumulated prior to the IPO that helps them assess borrower risk after listing (Gonzalez & James, 2007). Similarly, ventures may continue to raise capital from pre-IPO VC investors after listing, as these investors possess informational advantages that allow them to assess venture quality and risk when public market investors face greater uncertainty (Iliev & Lowry, 2020).

Resource provider

The literature on the post-exit phase for resource providers can be classified along three themes: (1) future investment activities and outcomes, (2) social assessments, and (3) navigating the information environment. Although these themes are distinct, many of the studies here consider these factors concurrently.

Future investment activities and outcomes. VCs rely on positive exit events to drive future fundraising activity, and exits impact both the timing and amount they are able to raise

for future funds (Balboa & Martí, 2007; Barber & Yasuda, 2017; DeSantola et al., 2024). In addition, an IPO exit within VCs' first 10 investments improves the probability of future IPO exits within their portfolios, although this effect is largely driven by the ability to invest in larger syndicates and later investment rounds (Nanda et al., 2020). For acquirers, exits may improve future acquisition performance through enhanced selection and integration capabilities (Graebner, Heimeriks, Huy, & Vaara, 2017; Zollo & Singh, 2004).

Social assessments. Post-exit events influence external social assessments of resource providers, and vice versa. The success or failure of exits can affect investors' reputations and status, with IPO outcomes shaping status more strongly for younger VC firms and reputation more strongly for older VCs (Pollock, Lee, Jin, & Lashley, 2015). For instance, a VC's reputation can be negatively affected when a venture they funded delists from a stock exchange following an IPO (Gomulya, Jin, Lee, & Pollock, 2019). Conversely, social assessments can foreshadow behaviors in the post-exit phase, as VCs with a higher reputation tend to engage more actively in the governance of their portfolio ventures, ultimately improving post-exit performance (Krishnan, Ivanov, Masulis, & Singh, 2011).

Navigating the information environment. Resource providers can leverage an informational advantage in activities following an exit. In the case of IPO exits, owners have a trading advantage due to the information they possess about the venture, technology, or industry (Ozmel, Trombley, & Yavuz, 2019; Ozmel, Yavuz, Trombley, & Gulati, 2020). Similarly, drawing on a real options perspective, research shows that investors with information advantages are more likely to retain equity beyond IPO lock-up periods when uncertainty is high and their private assessments of venture prospects are favorable, as delaying the liquidation of shares preserves the option to benefit from future upside rather than realizing value at the market price (Li et al., 2025). Moreover, investors may benefit in the post-exit phase from an improved ability to locate prospective acquirers for other ventures in their portfolios (Eldar & Grennan, 2024; Gompers, Gornall, Kaplan, & Strebulaev, 2020).

Environment

Research at the environmental level during the earlier stages of the exit process examines how the broader regulatory and market environment influences exit timing and routes. In contrast, research on the post-exit phase provides insights into how exits reshape and impact the broader environment. Specifically, this research shows that exits have subsequent spillover effects on (1) the founding of new ventures and (2) third-party behavior.

Founding of new ventures. Successful exits introduce information into the marketplace and redistribute resources that can facilitate the creation of entrepreneurial ventures. For example, a particularly successful IPO exit can serve as a "beacon" that attracts new ventures to enter a specific market sector (Bermiss, Hallen, McDonald, & Pahnke, 2017). Similarly, acquisition "waves" tend to cluster within sectors as interest and understanding of the market or technologies increase (Ozmel, Reuer, & Wu, 2017). This phenomenon can also occur within geographic boundaries, as venture creation increases in proximity to areas that recently had a successful IPO or acquisition exit (Stuart & Sorenson, 2003). These observations support the recursive loop modeling by Angeletos et al. (2023), in which exit opportunities

motivate new venture launches and incentivize founders to gather additional information about markets or technologies that can facilitate future exits.

Third-party behavior. Post-exit activity can impact the behavior of third-party stakeholders. For example, the dot-com bubble was not only associated with an “IPO bubble,” but also with an “audit bubble,” as accounting firms had to cope with a sudden surge in IPO-related engagements involving financially stressed companies filing to go public (Leone, Rice, Weber, & Willenborg, 2013). As a result, accounting firms’ institutional norms evolved to consider “cash burn” as an increasingly relevant financial metric. Similarly, exit dynamics can affect the behavior of investors who are not involved in the focal venture’s exit, with VCs reallocating resources into new industries when the IPO exit market is “hot” (Lo, Xu, & Park, 2024) but conserving funds and investing in existing ventures when the acquisition or IPO markets “cool” (Barrot, 2017; Townsend, 2015).

An Agenda for Future Research on Venture Exits

Building on our review, we present a research agenda to reconceptualize the study of venture exits using a process perspective (Langley et al., 2013). In the following sections, we highlight how a process perspective can be a valuable lens for scholars studying venture exits. In doing so, we identify new areas for future research that consider the dynamic and evolving interplay of actors, interests, and resources across the pre-exit, execution, and post-exit phases.

Toward a Process Perspective on Venture Exits

We find that the literature on venture exits is prone to three broader limitations. First, much of extant research simplifies exits into one-off financial transactions, implicitly glossing over a series of complex organizational changes. This perspective typically does not account for the fact that exits unfold over extended periods of time and involve shifting motivations and stakeholder priorities, evolving relationships between founders and stakeholders, and changing financial and market conditions. Second, prior research has typically examined individual, venture, resource provider, and environmental factors in isolation, often neglecting how these elements interact across units of analysis and evolve over time to shape exit-related outcomes. While this approach has generated valuable insights, it often abstracts away from the unfolding multi-actor dynamics through which exits emerge and translate into concrete outcomes. Third, our review shows that the literature has predominantly focused on IPO and acquisition exits (e.g., Bayar, Chemmanur, Rajaiya, Tian, & Yu, 2025; Dimmock et al., 2022; Wang et al., 2022). This emphasis has created a narrow understanding of exits that largely overlooks the variety of potential exit paths available, such as secondary sales (Bodley, 2025), employee buy-outs (Chaplinsky, Niehaus, & Van de Gucht, 1998), or acqui-hires (Bar-Isaac, Johnson, & Nocke, 2025). These alternative paths are empirically and theoretically significant as they involve distinct logics, actors, and dynamics across different stages of exit.

These limitations point to an opportunity to shift how the literature conceptualizes venture exits—moving beyond a transactional lens that treats exits as one-off financial events, toward

a more dynamic perspective that accounts for the complexity and richness of the phenomenon. We argue that a process perspective holds particular promise to address these limitations and move the literature forward, given its emphasis on examining “how managerial and organizational phenomena emerge, change, and unfold over time” (Langley et al., 2013). Three aspects of a process perspective stand out for their relevance to advancing research on venture exits: temporality, multi-actor interactions, and contextual peculiarities.

First, the notion of *temporality* (Ancona, Goodman, Lawrence, & Tushman, 2001; Blagoev, Hernes, Kunisch, & Schultz, 2024) is central to understanding the emergence of phenomena through a process lens. Specifically, a process lens “focuses empirically on evolving phenomena, and it draws on theorizing that explicitly incorporates temporal progressions of activities as elements of explanation and understanding” (Langley et al., 2013). The consideration of temporality can help to develop a fine-grained understanding of how exit pathways unfold over time, how decisions and outcomes are shaped by sequencing and pacing, and how different actors’ interpretations and actions evolve across stages of the exit process.

Second, a process perspective highlights the importance of *multi-actor interactions*—that is, the social and relational nature of organizational phenomena. As Langley et al. (2013) point out, “Ongoing interactions among different individuals, between individuals and organizations, and between multiple levels across organizations and contexts permeate and orient change processes.” This perspective can address a prevailing limitation of the venture exit literature, which has largely focused on exploring relationships between founders and resource providers (e.g., Chahine et al., 2020; Collewaert, 2012). In reality, exit processes involve interactions across a wider constellation of actors and institutions, each with distinctive interests and logics (Dalziel, White, & Arthurs, 2011). Drawing a more complete picture of multi-actor dynamics has the potential to provide richer insight into the micro-foundational decision processes that determine exit trajectories, and how such processes then impact a broader range of stakeholders.

Third, a process perspective recognizes the importance of *contextual peculiarities* and acknowledges that evolving organizational phenomena cannot be separated from their contexts (MacKay & Chia, 2013). Such a perspective can be fruitful to advance research on venture exits by expanding the literature’s understanding of the rich variety of exit paths, beyond IPOs and acquisitions. Theorizing on contextual peculiarities can help to explicitly account for how processes may differ depending on specific exit paths and configurations of actors, governance structures, and incentives. This approach can promote the development of nuanced theoretical insights specific to respective exit paths, avoid overgeneralization from research focused on IPOs and acquisitions, and uncover how alternative exit routes shape entrepreneurial outcomes.

In the following sections, we further explicate how a process perspective can advance the study of venture exits. To structure our research agenda, we build on the three themes highlighted above (i.e., temporality, multi-actor interactions, and exit path variety) and apply them to each of the three phases of venture exits (i.e., pre-exit, exit execution, post-exit) to identify promising opportunities for future research.

Research Opportunities in the Pre-Exit Phase

Research in the pre-exit phase has focused on isolating the effects of various individual, venture, resource provider, and environmental attributes on the likelihood that a venture can

realize an exit. However, the literature has paid less attention to how exit intentions form over time and how interactions across actors may influence exit paths. Further, as most research has focused on IPO or acquisition exits, we have less insight into different exit paths that have recently gained traction.

Temporality

One area that has received relatively little attention is a founder's intentions to exit (DeTienne & Cardon, 2012). With a few exceptions (e.g., Graebner & Eisenhardt, 2004), research offers a limited understanding of how exit intentions are formed longitudinally. One reason for this is that most studies have relied on cross-sectional surveys or retrospective attributions to infer a founder's motivations to exit. While research has significantly advanced this stream by adopting an individual perspective (Wennberg et al., 2010), it offers fewer insights into how exit intentions evolve in response to changes in institutional conditions (e.g., regulatory reforms, capital market cycles) and stakeholder relationships (e.g., investor pressure, major customer wins or losses). Future research could benefit by explicitly theorizing how exit intentions emerge and change over time and under what conditions venture managers revise, delay, or speed up their pursuit of a particular exit path. Here, a promising avenue is to build upon the concept of strategic hurdles—namely, critical milestones or challenges that ventures must overcome to progress (e.g., new CEO search or a new funding round)—which can create windows of opportunity that draw decision-makers' attention to exit possibilities (Graebner & Eisenhardt, 2004). Empirically, ethnographic and longitudinal qualitative methods are particularly well-suited to capture such dynamics, as they allow researchers to trace changes in exit intentions. This consideration of temporality can provide a more nuanced account of exit trajectories that enriches the literature and improves our theoretical and practical understanding of exit-related decision-making (Shepherd, Williams, & Patzelt, 2015).

Multi-actor interactions

In terms of multi-actor interactions in the pre-exit stage, one fruitful area to explore is the relational processes within founding teams that affect exit intentions. Founders often launch high-growth new ventures with cofounders (Lazar, Miron-Spektor, Chen, Goldfarb, Erez, & Agarwal, 2022), and research shows that founding teams play an important role in the strategic decisions of entrepreneurial firms (Klotz, Hmieleski, Bradley, & Busenitz, 2014; Shepherd et al., 2021). Moreover, founding teams can affect whether a venture is likely to exit, either via acquisition (Elitzur et al., 2024) or IPO (Beckman & Burton, 2008; Beckman, Burton, & O'Reilly, 2007). Despite this evidence regarding the importance of founding teams, extant research offers limited insight into how they may affect emerging exit intentions. In particular, we lack a comprehensive understanding of how exit intentions may diverge among cofounders with respect to whether, when, and how to exit, and how founding teams navigate such differences. Future research could move beyond the literature's focus on individual exit intentions and explore under what conditions a collective exit intention emerges, or how founding teams negotiate, reconcile, or fail to reconcile diverging exit preferences. For example, studies can examine the process of how exit intentions emerge and change over time and how this may be affected by differences in cofounders' roles (Jung, Vissa, & Pich, 2017), experiences (Wennberg et al., 2010), motivations (Justo et al., 2015), and desire to maintain control (Wasserman, 2017).

Another opportunity for future research is to examine how interactions between founders and their employees influence exit intentions and paths. The literature has mainly examined employees through the lens of human capital and how their skills and knowledge can affect a venture's probability of achieving an exit via IPO or acquisition (Chen et al., 2021; Dimmock et al., 2022), or the association between the number of employees and a founder's motivation to pursue an exit that benefits their employees (DeTienne et al., 2015). However, it remains unclear how, and in what way, founders engage with their employees (and vice versa) as they consider various exit paths. A stewardship lens (Davis, Schoorman, & Donaldson, 1997) may be particularly useful to examine this relational dynamic. In fact, prior research shows the relevance of stewardship theory in the context of entrepreneurial ventures. Founder-CEOs act as stewards for their ventures due to stronger psychological ownership (Wasserman, 2006) and a founder's stewardship towards their employees can influence how they plan to sell their ventures (DeTienne et al., 2015). Further, venture CEOs will explicitly prioritize the welfare of their employees when they consider selling their ventures (Graebner, 2009; Graebner & Eisenhardt, 2004). Moreover, the large literature on employee voice shows that employees are active in providing suggestions and concerns to senior managers (Morrison, 2011), suggesting a plausible role for employees in influencing exit intentions. Thus, future research could use a stewardship lens and build on insights from the voice literature to explore how founders and employees interact with and influence one another as different exit paths are being considered.

Exit path variety

Finally, there is an opportunity to expand our understanding of different exit paths in the pre-exit stage beyond IPOs and acquisitions. Although these exit forms remain highly relevant, a wider range of exit paths has become important and prevalent in recent years. One of these is secondary sales, which allow early shareholders to access liquidity by selling their shares to new investors or back to the company. In 2025 (Q1), the value generated from secondary share transactions already outpaced IPO offerings (Bodley, 2025). Prominent examples include CoreWeave, which completed a \$650 million secondary share sale in 2024 prior to its IPO (Bajwa & Hu, 2024), and OpenAI, which completed a \$6.6 billion secondary share sale in 2025, as well as other large firms such as SpaceX, Stripe, ByteDance, and Canva, and numerous smaller ventures (Azevedo, 2025). A key benefit of secondary sales is that they provide liquidity to early employees and investors, enabling personal wealth creation and reinvestment without the uncertainty of waiting for an IPO (Jetha, 2025). Despite the rising prevalence and distinctive benefits of secondary sales, there remains limited scholarly insight into how founders develop intentions to pursue such exits and how these intentions are influenced and shaped by stakeholder dynamics, governance structures, and market conditions.

Beyond secondary sales, management and employee buy-outs (EBOs) and acqui-hires represent underexplored exit paths. MBOs and EBOs differ from IPOs and acquisitions in that they emphasize continuity of control by insiders, which raises questions about how decision processes unfold as exiting owners negotiate primarily with internal stakeholders. Acqui-hires, by contrast, are motivated by talent acquisition rather than traditional ownership transfer (Bar-Isaac et al., 2025; Boyacıoğlu, Özdemir, & Karim, 2024), suggesting different deal structures, temporal logics, and actor coalitions during the pre-exit phase. Future research could therefore examine how intentions to pursue these alternative paths form and

evolve, how founders and venture boards compare and evaluate different exit routes, and how stakeholder pressures—ranging from investors seeking liquidity to employees desiring stability—shape the path that is ultimately chosen. By incorporating these alternative exit paths into the literature, scholars can broaden the conceptualization of exit intentions and capture the diversity of exit paths available.

Research Opportunities in the Exit Execution Phase

Most research on the execution of venture exits has focused on determinants of immediate venture performance outcomes, such as valuation (e.g., Pollock et al., 2010; Somaya & You, 2024), funds raised (Souitaris et al., 2023), investment returns (Amit et al., 1998), and acquisition announcement reactions (Masulis & Nahata, 2011), amongst others. Less is understood about the dynamic processes that unfold during the execution of different exit types.

Temporality

A promising direction for future research is questioning the often-oversimplified assumptions surrounding the temporal unfolding of ownership change during exit execution. Much of the literature implicitly assumes that exit events automatically lead to immediate ownership transfer and financial returns for initial owners. In reality, however, such events often represent partial, conditional, or deferred liquidity, with the relationship between ownership transfer, liquidity, and role transition being far more nuanced and highly dependent on the specific exit type.

For instance, in IPOs, ownership dilution occurs as new shares are issued, and liquidity is possible if secondary shares are sold during the offering (Junkunc & Eckhardt, 2009). However, most initial owners are subject to contractual and regulatory lock-up periods (Brav & Gompers, 2003), delaying their ability to realize liquidity even though the venture becomes publicly listed (Field & Hanka, 2001). In venture acquisitions, ownership change is typically immediate (Haleblian, Devers, McNamara, Carpenter, & Davison, 2009), and if the deal is structured as a cash transaction, liquidity for the initial owners is also immediate—except when contingent components like earn-outs delay full payout over time (Barbopoulos & Sudarsanam, 2012). If an acquisition is structured with equity (e.g., the seller is paid with shares in the acquiring firm), ownership shifts immediately to the acquirer, but liquidity depends on whether the acquirer is public or private and whether sellers are subject to restrictions such as insider lock-ups. In secondary sales, ownership change and liquidity generally occur simultaneously and immediately but typically apply to only a portion of the initial owners' shares. These examples illustrate that the relationships between exit events and liquidity are far more complex and temporally extended than current perspectives suggest.⁷

These complexities invite a reconceptualization of venture exits as a *liminal process*—that is, a transitional phase characterized by ambiguity and redefinition (Söderlund & Borg, 2018). Drawing on the concept of liminality, future research could explore how such events unfold as “betwixt and between” states (Garsten, 1999) in which initial owners are neither fully in nor out of the venture. This includes examining how initial owners navigate role ambiguity, emotional ambivalence, or shifting power dynamics while formal exit structures are still incomplete or constrained. A liminality perspective can also shed light on how stakeholders (e.g., founders, employees, and early investors) may experience the exit event differently depending

on their degree of involvement, liquidity realization, or anticipated continuity. Future studies could investigate the temporal thresholds, ritualized practices, and sensemaking efforts that characterize this “in-between” phase as an unfolding passage rather than a fixed event (Söderlund & Borg, 2018).

Multi-actor interactions

The execution phase of venture exits is characterized by time-sensitive and high-stakes negotiations involving multiple actors with divergent interests (Broughman & Fried, 2010). However, with the exception of Graebner (2009), negotiation remains surprisingly underexplored in the extant literature—despite its central role in determining how value from the ownership transfer is captured and distributed, and how a venture’s future governance is shaped. A process lens (Langley, 1999; Langley et al., 2013) offers an opportunity to understand negotiations not as a discrete event, but as a temporal and socially constructed sequence of interactions. From this perspective, negotiation unfolds through evolving power dynamics and shifting coalitions—aspects that remain underexplored in the venture exit context. Drawing on the behavioral theory of the firm (Argote & Greve, 2007; Cyert & March, 1963), future research could explore how coalitions form and evolve during the negotiation processes of exit execution (Mithani & O’Brien, 2021). Ventures are fundamentally coalitional in nature, composed of actors with different goals, varying levels of power, and distinct aspiration levels (Gavetti, Greve, Levinthal, & Ocasio, 2012). Moreover, as actors confront new information—such as valuation feedback or any frictions uncovered during due diligence and information disclosure—their preferences and expectations may shift, triggering realignments in coalitions. These dynamics offer intriguing opportunities for studying how tensions emerge and are negotiated within and across coalitions.

Notably, studying such multi-actor negotiation and coalition dynamics calls for methodological approaches that capture temporality and interaction in nuanced ways. Longitudinal qualitative research, such as process tracing, temporal bracketing, event structure analysis, and narrative analysis (Langley & Abdallah, 2015), can shed light on how negotiations and coalitions evolve during exit execution, and how actors construct meaning around interests, tensions, and outcomes. Access to boardroom interactions or founder-investor communications would provide rich empirical insights in this respect.

Exit path variety

Research on exit execution has been dominated by IPOs, particularly at the venture and environment levels, and to some extent at the resource provider level. IPO execution is highly regulated and involves a combination of public disclosures and private processes, including roadshows, bookbuilding, and pricing negotiations (Lowry & Schwert, 2004). While the public component is well-researched, given the wide availability of relevant archival data, existing studies offer little insight into the underlying negotiations, bargaining dynamics, and strategic behavior in such events. This leaves important aspects of IPO execution largely unexplored. Moreover, while this focus has generated valuable insights into the IPO process as the presumably most financially lucrative exit form, it risks narrowing our understanding of exit execution to a single exit type. From a process perspective, execution unfolds quite differently across exit paths, with distinct actors, motives, and procedural logics that deserve comparison. For example, acquisition exits involve private negotiations between buyers and

sellers (Graebner & Eisenhardt, 2004), with discussions around due diligence, potential disputes around valuation, and deal terms such as earn-outs or equity swaps (Barbopoulos & Sudarsanam, 2012). Secondary sales are often quicker and less visible, providing shareholders with partial liquidity without the comprehensive change in a venture's governance that IPOs and acquisitions typically require. MBOs and EBOs are characterized by negotiations among existing venture owners (Birley, Muzyka, & Hay, 1999; Chaplinsky et al., 1998), which raises important questions about financing, trust, and continuity of organizational culture and governance. Acqui-hires are also distinct and involve negotiations that typically revolve less around ownership valuation and more around talent contracts and retention agreements (Boyacıoğlu et al., 2024). Extant research has, however, largely neglected systematic comparisons across these different exit execution processes, which leaves us with a fragmented understanding of how venture ownership change unfolds across contexts.

Future research could therefore employ comparative studies to explore, for example, how power asymmetries and information flows differ given the peculiarities of execution underlying the various exit paths (e.g., roadshows in IPOs, due diligence in acquisitions, insider negotiations in secondary sales or buy-outs), or how regulatory environments as well as cultural differences influence execution. Concretely, cultural norms regarding negotiation practices, stakeholder relationships, governance expectations, and the reliance on informal networks or formal contracts may shape how execution unfolds across countries and institutional environments (Brett, Gunia, & Teucher, 2017). Similarly, differences in legal protections, disclosure requirements, and labor market conditions may further lead to different execution dynamics across exit types and geographies (Edelman & Suchman, 1997). By exploring these cultural and institutional influences, future research can generate richer insights into how environmental factors affect exit execution across different exit paths.

Research Opportunities in the Post-Exit Phase

Post-exit research has disproportionately focused on performance and reputation outcomes for ventures and investors. Moreover, while there is a growing body of work on the consequences of acquisitions of entrepreneurial ventures for a variety of stakeholders and activities, less is known about how ventures are organized and operate following different exit paths, or about the reactions of employees and competitors in these contexts. Further, there remain underexplored opportunities to better understand the potential sequencing of different exit paths.

Temporality

The process perspective suggests moving beyond treating exits as discrete endpoints and instead viewing them as transitional periods that trigger shifts in organizational behavior (Hernes & Feuls, 2024). In this context, an unexplored but promising area for future research lies in understanding how new organizational routines (Feldman & Pentland, 2003) emerge and evolve in the post-exit phase over time. Exit events typically bring significant structural, strategic, and stakeholder changes. Specifically in the case of IPOs, ventures are exposed to new governance norms, reporting requirements, and scrutiny (Certo et al., 2009). Such transformation often requires ventures to adapt or abandon existing routines while developing new ones—a process that can evoke tensions. There is also initial evidence that events during

exit execution (e.g., underpricing) can impact a venture's future strategic or structural decisions (Cabral & Kumar, 2023). Future research could investigate how and when new routines and strategies take shape post-exit and the actor constellations that drive or resist these changes. Moreover, researchers could investigate how factors such as organizational identity, legacy practices, and founder characteristics influence this process. Insights from the literature on flexible routines (Pentland, Feldman, Becker, & Liu, 2012) and organizational imprinting (Becker, 2025) could offer valuable insights in this regard.

Multi-actor interactions

A process perspective suggests an opportunity to explore how shifts in management structures and governance arrangements affect employees and their roles. For example, evidence suggests that acquisition exits are more likely when there is alignment in culture, values, and interpersonal connections (Graebner & Eisenhardt, 2004). Yet, with some exceptions (e.g., Schweizer, 2005), we know relatively little about how employee retention and adaptation unfold following acquisitions of entrepreneurial ventures—particularly when such alignment is lacking. Further exploring the transition from an entrepreneurial venture to an incumbent firm setting offers a useful context to unpack contemporary workplace challenges (e.g., increased bureaucracy, change in work pace, generational differences, and hybrid work arrangements). Moreover, IPOs, acquisitions, and other exits can create disparities in wealth distribution across employees, as individuals holding equity often realize substantial financial returns while those without such equity do not (Hand, 2008). Future research could explore how employees are able to manage such disparities, their organizational implications (e.g., for collaboration), and what practices new owners can employ to sustain or rebuild cohesion among teams.

Post-exit changes may also lead some employees to leave due to cultural misfit, new governance structures, or changes in daily work (Graebner, 2009; Kim, 2024; Schweizer, 2005). This mobility can create opportunities for competing ventures to recruit and ultimately benefit from readily available talent, skills, and networks (Mawdsley & Somaya, 2016). However, we know little about whether and how competitors take advantage (or not) of such opportunities, and if they are successful, how they integrate these employees effectively. Future research could examine the mechanisms through which employee mobility following exit events shapes competitive dynamics, and the strategies competing ventures and large organizations use to capture and leverage these human capital resources. At the same time, an exit event may allow employees to find opportunities that are a better match for the skills developed while employed at the focal venture. This introduces important questions about the performance of employees and their future employers.

Finally, while prior research has shown that competitors respond to peers' exit decisions by deciding to go public after observing a rival's IPO (Aghamolla & Thakor, 2022), research examining how such third-party organizational actors respond after exit events remains limited. In particular, it is still unclear under which conditions competing ventures mimic or deliberately avoid strategies of peers that have experienced particularly (un)successful exit outcomes (Lieberman & Asaba, 2006). Shedding more nuanced light on competitor behavior after venture exit events thus holds promise in advancing our understanding of how venture exit processes spill over across organizational boundaries, influence competitive dynamics, and ultimately shape broader industry developments.

Exit path variety

To date, post-exit research has rarely compared exit alternatives, with outcomes typically being studied in isolation within a single exit type (e.g., IPO or acquisition). However, post-exit dynamics differ significantly across exit paths. While IPOs often bring new governance rules, reporting requirements, and investor pressures that reshape organizational reality (Krishnan et al., 2011; Sanders & Boivie, 2004), acquisitions involve cultural integration and restructuring (Schweizer, 2005), and secondary sales or buy-outs may leave existing structures largely intact. Comparing these differences could create important insights into broader organizational implications in the post-exit phase. Moreover, little is known about the sequencing of exits, even though in practice they often occur in combination or succession. For instance, a venture may pursue a secondary sale prior to an IPO, or go public before eventually being acquired (Reuer & Tong, 2010). These exit sequences may produce different long-term effects than any one exit in isolation.

Lastly, the long-term impact of alternative exit paths, such as secondary sales, is almost entirely unexplored. While secondary sales are increasingly common and provide early liquidity for founders, employees, and early investors, their implications for organizational culture, employee motivation (Murnieks et al., 2020), and venture growth (Gilbert, McDougall, & Audretsch, 2006) remain unclear. Future research could investigate whether such partial liquidity events influence subsequent exit choices, employee retention, or long-run venture performance.

Conclusion

Venture exits have wide-ranging implications for founders, employees, organizations, resource providers, and broader ecosystems, thereby representing an intriguing context for theorizing across disciplinary boundaries. Assessing and organizing this large body of research across multiple phases and units of analysis, we provide an in-depth examination of theoretical underpinnings, synthesize findings, reveal underlying tensions, and leverage a process perspective to advance a new agenda for future research. In doing so, we offer a unique vantage point that advances and integrates venture exit research in novel ways with promising implications for future research directions and theory advancement.

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Notes

1. While venture exits are often regarded as positive milestones that generate liquidity and enable strategic transitions, this is not always the case. In some instances, such as in family businesses or distressed situations, exits may be perceived as negative events.

2. An exception is the acquisition of an entrepreneurial venture by a private firm, if the sellers are paid in shares of the acquiring firm rather than in cash. These transactions are typically considered to be exits but do not provide an immediate path to liquidity. IPOs offer a clearer path to liquidity, but founders are often restricted by lock-up periods. We return to these nuances in the future research section.

3. This may, but does not necessarily, reflect “self-funded” ventures. From the screened articles, we are only able to identify whether venture financing has been considered in the study or not.

4. A few articles could arguably be classified into multiple phases or units of analysis. In such cases, we identified and coded the dominant phase and unit of analysis based on the focal research question, theorizing, and primary outcome examined in the article. Importantly, this applied to only a small number of articles, and in all cases, the classification was straightforward and resolved through discussion among the author team.

5. As detailed in the methods section, we restrict our review to research articles published in journals on the FT50 list. Accordingly, when we refer to “the literature,” “existing research,” “prior work,” or similar summary terms, we mean only the body of work included in our review. While the 317 articles included in our review represent a substantial and influential body of work that has shaped the understanding of venture exits across different disciplines, we acknowledge that important insights on venture exits have also been developed in journals outside the FT50.

6. In an IPO, primary shares refer to newly issued shares sold to raise capital for the venture itself. Secondary shares, by contrast, are existing shares sold by current owners (e.g., founders, employees, or investors), enabling them to partially or fully liquidate their ownership stakes.

7. The IPO of FreeMarkets illustrates the complexity founders face in realizing exit value. Although the venture achieved a successful IPO, lock-up restrictions delayed the ability of the founder to sell shares. During this period, the firm’s market value declined sharply, substantially reducing the value of the founder’s shares despite initial IPO success. Link to founder interview: https://www.youtube.com/watch?v=F_Xs4WpmHs4&t=0s.

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